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SEBI (Depositories and Participants) Regulations, 2018

MCQ Booklet (115 Questions)

Q1. What does "Change in control" mean according to Regulation 2 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) Any change in the legal formation or ownership of a body corporate.
- b) Any change in the ownership of shares listed on any recognized stock exchange.
- c) Any change in the controlling interest of a depository.
- d) Any change in the voting rights of key management personnel.
- e) None of the above

Q2. Which of the following expressions has the same meaning as "non-independent director" as per Regulation 2 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) A director representing the interests of investors in the securities market.
- b) A director elected by depository participants and their associates and agents.
- c) A director elected by shareholders who are not depository participants or their associates.
- d) A director nominated by the regulatory department.
- e) A director with controlling interest in the company.

Q3. What is the requirement for establishing a Depository as per Regulation 3 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) Obtaining a license from a financial regulator.
- b) Obtaining registration from the Board as per the relevant Acts and regulations.
- c) Obtaining a certificate of incorporation from the Companies Act.
- d) Obtaining approval from the shareholders of the depository.
- e) Submitting an application to the Ministry of Finance.

Q4. What will happen if an application for registration as a depository is not complete or does not conform to the requirements as per Regulation 4 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) The applicant will be given a grace period of 15 days to rectify the application.
- b) The application will be automatically approved despite its incompleteness.
- c) The application will be rejected without any further communication.
- d) The applicant will be given an opportunity to address the issues, and if not resolved, the application will be rejected.
- e) The applicant will need to pay a higher fee for processing the incomplete application.

Q5. What steps might an applicant need to take during the registration process for a depository as per Regulation 5 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) The applicant must provide personal representation to the Board before submitting the application.
- b) The applicant should furnish further information or clarification as requested by the Board.
- c) The applicant should pay the fee specified in the Second Schedule before submitting the application.
- d) The applicant must appeal to a regulatory authority for clarification regarding the application process.

Q6. What conditions must an applicant meet for their application for a depository's certificate of registration to be considered by the Board as per Regulation 6 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) The applicant should belong to the category of shareholders eligible to hold up to 5% share capital of the depository.
- b) The applicant must be a foreign entity with no presence in the country.
- c) The applicant must demonstrate a record of significant financial gains.
- d) The applicant should be a key management personnel of an existing depository.
- e) The applicant should belong to the category of shareholders eligible to hold up to 15% share capital of the depository and be a fit and proper person.

Q7. What conditions and requirements are associated with the grant of a certificate of registration to a depository by the Board as per Regulation 7 (c) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) The depository must pay a registration fee to the Board within seven days of receiving the certificate.
- b) The depository must not engage in any activity involving deployment of funds without prior approval of the Board.
- c) The depository's employees can work simultaneously for other companies where the depository has invested.
- d) The depository's directors, committee members, and employees are not allowed to receive any compensation or financial benefit from companies where the depository has invested.
- e) Both b) and d)

Q8. According to Clause (d) of Regulation 7 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how long is the shareholding of the applicant in the depository required to be locked-in after receiving registration from the Board?

- A) Two years
- B) Three years
- C) Four years
- D) Five years
- E) Six years

Q9. As per Clause (e) of Regulation 7 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what requirements must the depository comply with?

- A) Operational requirements
- B) Shareholding and governance structure requirements
- C) Financial reporting requirements
- D) Marketing and promotion requirements
- E) Regulatory approval requirements

Q10. What action is required if any previously submitted information is found to be false or misleading as per Regulation 7 (f) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) No action required
- B) Inform the participants
- C) Inform the Board in writing
- D) Amend the bye-laws
- E) Share the information with shareholders

Q11. According to Clause (g) of Regulation 7 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within what time frame should the depository redress grievances of participants and beneficial owners after receiving complaints?

- A) Ten days
- B) Twenty days
- C) Thirty days
- D) Forty days
- E) Fifty days

Q12. As per Clause (h) of Regulation 7 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within what time frame should the depository apply for commencement of business after receiving the certificate of registration?

- A) Six months
- B) Nine months
- C) One year
- D) Two years
- E) Three years

Q13. As per Regulation 10 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within what timeframe does the Board communicate its decision to reject an application for a certificate of registration?

- A) Within 7 days
- B) Within 15 days
- C) Within 30 days
- D) Within 60 days
- E) Within 90 days

Q14. As per Reg 11 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within what timeframe should a depository apply for commencement of business after being granted a certificate of registration?

- A) Within 6 months
- B) Within 9 months
- C) Within 1 year
- D) Within 18 months
- E) Within 2 years

Q15. According to Regulation 12 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the consequence of submitting an application in Form C of the First Schedule that is incomplete or does not conform to the specified instructions?

- A) The application will be immediately approved
- B) The application will be returned for revision
- C) The application will be suspended
- D) The application will be rejected
- E) The applicant will be fined

Q16. As per Regulation 13 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, under what circumstance might the depository or its authorised representative be required to appear before the Board?

- A) To request funding
- B) To challenge a decision
- C) To share personal experiences
- D) For personal representation in connection with the grant of certificate of commencement of business
- E) To discuss regulatory matters

Q17. According to Regulation 14 (d) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is one of the matters that the Board considers when granting a certificate of commencement of business to a depository?

- A) The number of employees
- B) The depository's location
- C) The colour scheme of the depository's logo
- D) The average annual temperature
- E) The security of the network for electronic communications

Q18. In the context of the grant of a certificate of commencement of business for a depository, which of the following is NOT a factor that the Board takes into account as per Regulation 14 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The security of the network for electronic communications
- B) The establishment of standard transmission and encryption formats for electronic communications
- C) The physical location of the depository
- D) The establishment of procedures to protect records against loss or destruction
- E) Adequate arrangements for indemnifying beneficial owners for losses caused by wrongful acts or negligence

Q19. What is the purpose of establishing standard transmission and encryption formats for electronic communications according to Regulation 14 (1) (e) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) To comply with local taxation regulations
- B) To improve the aesthetic appeal of communications
- C) To reduce the cost of communication services
- D) To ensure secure and standardised data exchange
- E) To enable communication in multiple languages

Q20. According to regulation 15 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when should a depository submit an audited net worth certificate to the Board?

- A) By the fifteenth day of September of every year
- B) By the thirtieth day of September of every year
- C) By the last day of every month
- D) Within one month of the annual general meeting
- E) On the anniversary of its registration date

Q21. How is the "net worth of a depository" calculated as defined in the explanation of Regulation 15 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The total value of its annual profits
- B) The value of its cash reserves
- C) The total market value of its issued shares
- D) The aggregate value of paid up equity share capital and free reserves reduced by certain factors
- E) The total value of its assets minus liabilities

Q22. When is the Board required to grant a certificate of commencement of business to a depository as per Regulation 16 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) After the depository's annual general meeting
- B) After a physical verification of the depository's premises
- C) After considering the application under regulation 14 and verifying its net worth
- D) After the depository's registration date
- E) After the depository submits its audited balance-sheet

Q23. What is the procedure if the Board is of the opinion that a depository should not be granted a certificate of commencement of business as per Regulation 18 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The Board can grant the certificate with specific conditions
- B) The Board can ask the depository to submit a new application
- C) The Board can only reject the application
- D) The Board can either direct the depository to conform to certain matters or reject the application
- E) The Board has no authority to make a decision in this regard

Q24. When must the Board communicate its decision to reject an application to the depository as per Regulation 18 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Within fifteen days
- B) Within one month
- C) Within sixty days
- D) Within thirty days
- E) Within ninety days

Q25. What is the requirement for equity or rights over equity arising from certain instruments that exceed the limit of shareholding specified in Regulation 20 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) They must be sold immediately
- B) They can remain as they are
- C) They must be reduced to the specified limit within a period of five years
- D) They must be converted into debt instruments
- E) They must be transferred to another depository

Q26. Who is allowed to acquire or hold up to fifteen percent of the paid-up equity share capital in a Depository, either directly or indirectly, along with persons acting in concert Regulation 21 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Any individual resident in India
- B) Any foreign entity
- C) A group of shareholders
- D) A stock exchange, depository, banking company, insurance company, and public financial institution
- E) Only the employees of the Depository

Q27. Which of the following entities is allowed to acquire or hold up to fifteen percent of the paid-up equity share capital in a Depository, directly or indirectly, along with persons acting in concert as per Regulation 21 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Any individual resident outside India
- B) Any foreign company
- C) Any mutual fund
- D) A foreign stock exchange, foreign depository, foreign banking company, foreign insurance company, foreign commodity derivatives exchange, and a bilateral or multilateral financial institution approved by the Central Government
- E) Only depository participants

Q28. What is the maximum limit for the combined holding of all persons resident outside India in the paid-up equity share capital of a depository, as per Regulation 21 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) 15 percent
- B) 25 percent
- C) 33 percent
- D) 49 percent
- E) 51 percent

Q29. What is the requirement for a person to acquire or hold more than five percent of the paid-up equity share capital of a depository, as mentioned in Regulation 22 (3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Obtain approval from the Central Government
- B) Obtain prior approval from the Board
- C) Hold less than two percent equity shares or voting rights
- D) Have a direct association with the depository
- E) Fulfil certain financial criteria

Q30. What condition must be met for the voting on a resolution in the meeting of the governing board to be valid as per Regulation 24 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The total number of votes cast must exceed the number of public interest directors' votes.
- B) The total number of votes cast must exceed the number of non-independent directors' votes.
- C) The number of public interest directors' votes must be equal to or more than the number of non-independent directors' votes.
- D) The number of non-independent directors' votes must be equal to or more than the number

of public interest directors' votes.

E) The total number of votes cast must exceed the number of managing director's votes.

Q31. Who is granted the casting vote in the meetings of the governing board of the depository as per Regulation 24 (6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The public interest directors.
- B) The non-independent directors.
- C) The managing director.
- D) The chairperson of the governing board.
- E) The depository participants.

Q32. Under what circumstances will a person who is a director in an entity be deemed to be a Depository Participant as per Regulation 24 (10) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) If the entity is a depository itself.
- B) If the entity has a well-diversified shareholding.
- C) If the entity has no identifiable ultimate promoter.
- D) If the entity is a Public Financial Institution or Bank.
- E) If the entity is in the public sector.

Q33. Which qualifications and experience areas are required for directors to be appointed on the governing board of a depository as per Regulation 24 (14) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Medicine and healthcare.
- B) Engineering and architecture.
- C) Capital markets and finance.
- D) Agriculture and farming.
- E) Education and research.

Q34. How many persons, appointed by the Board, can serve as directors on the governing board of any depository as per Regulation 24A of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) One person.
- B) Two persons.
- C) Three persons.
- D) Four persons.
- E) Unlimited number of persons.

Q35. How long is the initial term for which public interest directors are appointed to the governing board of a depository as per Regulation 25 (3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) One year
- B) Two years
- C) Three years
- D) Four years
- E) Five years

Q36. What is the cooling-off period required for a public interest director to become a non-independent director after ceasing to be a public interest director on the governing board of a depository as per Regulation 25 (8) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) One year
- B) Two years
- C) Three years
- D) Four years
- E) Five years

Q37. What is the maximum period for which a person can be appointed as Managing Director of a depository as per Regulation 26 (3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) 5 years
- B) 7 years
- C) 8 years
- D) 10 years
- E) 15 years

Q38. Which of the following positions is the managing director of a depository allowed to hold concurrently, according to Regulation 26 (4) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018??

- A) Shareholder of a depository
- B) Depository participant
- C) Managing director of the subsidiary of a depository
- D) Director on the governing board of an associate of a depository
- E) None of the above

Q39. According to Regulation 26 (5&6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, under what circumstances can the Board remove or terminate the appointment of the managing director of a depository?

- A) If the managing director fails to comply with the directions of the governing board
- B) If the managing director violates the rules and regulations of the depository
- C) If the managing director's performance is deemed unsatisfactory in the interest of the securities market
- D) If the managing director is found to be engaged in any fraudulent activities
- E) Both A and B

Q40. As per regulation 28 (6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what information should be included in the report of the depository under section 134 of the Companies Act, 2013?

- A) The financial statements of the depository.
- B) The compensation of public interest directors.
- C) The ratio of compensation paid to each key management personnel.
- D) The number of shares held by each shareholder.
- E) The list of clients served by the depository.

Q41. As per regulation 28 (2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the role of the Nomination and Remuneration Committee?

- A) Determine the compensation of key management personnel.

- B) Approve the appointment of public interest directors.
- C) Manage the financial transactions of the depository.
- D) Decide the number of independent directors on the governing board.
- E) Review the annual report of the depository.

Q42. According to regulation 29 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how should a depository segregate its functions?

- A) Into business development, operations, and compliance.
- B) Into critical operations, business development, and investor grievances.
- C) Into risk management, regulatory compliance, and operations.
- D) Into three distinct verticals: critical operations, regulatory compliance, and other functions.
- E) Into regulatory functions, risk management, and business development.

Q43. According to regulation 29 (3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, which functions are given higher priority by the depository?

- A) Critical operations
- B) Investor grievances
- C) Business development
- D) Regulatory compliance
- E) Risk management

Q44. What is the purpose of adopting a "Chinese Wall" policy as mentioned in regulation 29(5) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) To enhance business development efforts
- B) To ensure direct communication between different verticals
- C) To separate critical operations from other functions
- D) To maintain a clear separation of functions under regulatory compliance from other verticals
- E) To encourage employee collaboration

Q45. According to regulation 29(6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the provision regarding communicating information between employees of different verticals?

- A) Employees can communicate freely to ensure efficient operations.
- B) Employees from different verticals must communicate regularly for collaboration.
- C) Employees must communicate confidential information on a "need to know" basis.
- D) Employees must not communicate any information with anyone from other verticals.
- E) Employees are required to communicate all information to promote transparency.

Q46. According to regulation 31(2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how often does the governing board of a depository need to confirm compliance with disclosure requirements and corporate governance norms?

- A) Quarterly
- B) Annually
- C) Once during the tenure
- D) Biennially
- E) Half-yearly

Q47. As per regulation 31(3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is required to be disclosed by a depository in its report under section 134 of the Companies Act, 2013?

- A) Details of its shareholders
- B) List of all employees
- C) Resources committed for business development
- D) Resources committed for regulatory functions and compliance
- E) Details of its subsidiaries

Q48. According to regulation 31(4) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, who reviews the fees and charges levied by a depository?

- A) Regulatory Authority
- B) Governing Board of the Depository
- C) Oversight Committee of the Depository
- D) Shareholders of the Depository
- E) External Auditors of the Depository

Q49. According to regulation 31 (6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what type of agency does a depository need to appoint for performance evaluation?

- A) Internal auditor
- B) Government agency
- C) Regulatory authority
- D) Independent external agency
- E) Law enforcement agency

Q50. What is the requirement mentioned in regulation 31(7) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018 for disclosure by a depository on its website?

- A) Financial statements
- B) List of employees
- C) Organisational structure
- D) Governing board's personal information
- E) Agenda and minutes of certain meetings

Q51. According to regulation 31 (8) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what action can be taken against a director or key management personnel who fails to report an act of wrongdoing?

- A) They will be suspended from their position.
- B) They will be fined by the Board.
- C) They will be given a warning.
- D) They will be eligible for a reward.
- E) They may be liable for action under these regulations.

Q52. According to regulation 32(2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, who certifies that a participant complies with the eligibility criteria and has adequate infrastructure?

- A) The applicant themselves
- B) The Board

- C) The depository
- D) The regulatory authority
- E) The shareholders

Q53. According to regulation 33 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the consequence of an incomplete application in Form F of the First Schedule?

- A) The application will be accepted as is.
- B) The applicant will receive a warning.
- C) The application will be rejected without any opportunity for rectification.
- D) The applicant will be allowed to submit additional forms.
- E) The applicant will receive a grace period to complete the application.

Q54. How long is the initial period given to the applicant to rectify objections indicated by the Board, according to regulation 33 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) 10 days
- B) 15 days
- C) 30 days
- D) 45 days
- E) 60 days

Q55. Under what circumstances can the Board extend the period for rectification of objections indicated by the Board, according to regulation 33 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) If the applicant pays a fine.
- B) If the application is resubmitted.
- C) If the objections are minor.
- D) If the Board is satisfied that an extension is necessary.
- E) If the applicant requests an extension.

Q56. According to regulation 34 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, who can be required to furnish further information or clarification for the grant of a certificate of registration?

- A) The applicant's family members
- B) The applicant's business partners
- C) The depository to which the applicant is applying
- D) The applicant's competitors
- E) The Board itself

Q57. According to regulation 35 (a) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the minimum net worth requirement for a non-banking finance company to act as a participant on behalf of itself?

- A) Rupees fifty thousand
- B) Rupees fifty lakhs
- C) Rupees one crore
- D) Rupees fifty crore
- E) Rupees one hundred crore

Q58. According to regulation 36 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the purpose of Form G of the First Schedule?

- A) To apply for a certificate of registration as a participant
- B) To provide information about the applicant's financial status
- C) To request an extension for application submission
- D) To request a change in control of a participant
- E) To request a waiver of registration fees

Q59. According to regulation 36 (2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is one of the requirements for granting a certificate of registration to a participant?

- A) The participant must be a foreign bank operating in India.
- B) The participant must have a net worth of at least rupees one crore.
- C) The participant must have a minimum of five years of experience.
- D) The participant must have a clean regulatory record.
- E) The participant must pay the annual fees specified in Part A of the Second Schedule.

Q60. According to regulation 36 (f) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the time frame for a participant to redress the grievances of beneficial owners?

- A) Within seven days
- B) Within fifteen days
- C) Within thirty days
- D) Within sixty days
- E) Within ninety days

Q61. According to regulation 36 (4) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the status of a participant who was granted a certificate of registration by the Board prior to the commencement of certain regulations?

- A) Their registration is revoked.
- B) They need to reapply for registration.
- C) They are required to pay a higher registration fee.
- D) They are deemed to have been granted a certificate of registration.
- E) Their registration is temporarily suspended.

Q62. According to regulation 36 (5) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how often does a participant need to pay the registration fee to keep their registration in force?

- A) Every year
- B) Every two years
- C) Every three years
- D) Every five years
- E) Every ten years

Q63. According to regulation 36 (5) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when does the requirement to pay the registration fee every five years begin?

- A) From the first year of the date of grant of certificate of registration
- B) From the second year of the date of grant of certificate of registration

- C) From the third year of the date of grant of certificate of registration
- D) From the fourth year of the date of grant of certificate of registration
- E) From the sixth year of the date of grant of certificate of registration

Q64. According to regulation 38 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, can a participant act as a participant in more than one depository without obtaining a separate certificate of registration?

- A) Yes, but only after obtaining approval from the Board.
- B) Yes, without any approval.
- C) No, each depository requires a separate certificate of registration.
- D) Yes, but only if the participant has a net worth above a certain threshold.
- E) Yes, but only after obtaining approval from both depositories.

Q65. According to regulation 38 (3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the condition for a participant to act as a participant in another depository after obtaining approval from the depository?

- A) The participant must pay a higher registration fee.
- B) The participant must inform the Board before doing so.
- C) The participant must comply with the provisions of the Companies Act.
- D) The participant must pay the registration fees specified in the First Schedule.
- E) The participant must pay the registration fees and obtain approval from the Board.

Q66. According to regulation 38 (6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how often does a participant need to pay the registration fee to keep their registration in force when acting as a participant in multiple depositories?

- A) Every year
- B) Every two years
- C) Every three years
- D) Every five years
- E) Every ten years

Q67. According to regulation 38 (6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when does the requirement to pay the registration fee every five years begin for a participant acting in multiple depositories?

- A) From the first year of the date of grant of approval by the depository
- B) From the second year of the date of grant of approval by the depository
- C) From the third year of the date of grant of approval by the depository
- D) From the fourth year of the date of grant of approval by the depository
- E) From the sixth year of the date of grant of approval by the depository

Q68. According to regulation 39 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what does the Board do if an application for the grant of a certificate of registration does not meet the requirements specified in regulation 35?

- A) Approve the application without further consideration.
- B) Reject the application without any explanation.
- C) Accept the application but with certain conditions.
- D) Request the applicant to submit additional documents.
- E) Give the applicant an opportunity to rectify the application.

Q69. According to regulation 39 (2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within how many days must the decision of the Board to reject the application be communicated to the applicant?

- A) 15 days
- B) 30 days
- C) 60 days
- D) 90 days
- E) 120 days

Q70. According to regulation 42 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, which of the following securities is eligible to be held in dematerialized form in a depository?

- A) Real estate properties
- B) Antique artifacts
- C) Physical currency notes
- D) Government securities
- E) Vintage cars

Q71. According to regulation 43 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when is an agreement required to be entered into between an issuer and a depository to enable investors to dematerialize securities?

- A) Whenever the investor decides to invest in securities
- B) Whenever the issuer decides to issue securities
- C) Whenever the investor exercises an option to hold securities in dematerialized form
- D) Whenever the issuer goes bankrupt
- E) Whenever the securities are physically transferred

Q72. In which scenario is an agreement NOT required to be entered into between an issuer and a depository, as per regulation 43 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) When the depository itself is an issuer of securities
- B) When the investor opts for physical stock certificates
- C) When the Central Government is the issuer of Government securities
- D) When the State Government is the issuer of Government securities
- E) When the issuer appoints a Registrar to the Issue

Q73. What is the purpose of maintaining continuous electronic means of communication by a depository, as per regulation 45 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) To ensure secure physical storage of securities
- B) To facilitate in-person meetings with participants and issuers
- C) To enable real-time trading of securities
- D) To provide internet access to participants
- E) To enhance the depository's physical security measures

Q74. According to regulation 46 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what must a depository demonstrate to the Board?

- A) That it has a strong marketing strategy in place
- B) That it provides high-interest rates to participants

- C) That it has robust security measures for its premises
- D) That it has a mechanism to protect the interests of securities buyers and sellers
- E) That it has a large number of issuers registered with it

Q75. As per regulation 47 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when must a depository allow a participant to withdraw or transfer their account?

- A) Only if the participant has no securities in their account
- B) Only if the request is made in writing
- C) If the participant's request complies with the conditions specified in the bye-laws of the depository
- D) If the participant has been a member for at least five years
- E) Only if the request is made during business hours

Q76. What is the purpose of the annual inspection of controls, systems, procedures, and safeguards by a depository, according to regulation 49 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) To ensure compliance with tax regulations
- B) To assess the financial performance of the depository
- C) To evaluate the quality of customer service
- D) To ensure proper record-keeping of securities transactions
- E) To monitor and review the effectiveness of the depository's internal controls

Q77. What is the purpose of a wind-down plan, according to regulation 51 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) To outline marketing strategies for the depository
- B) To address issues related to employee layoffs
- C) To prepare for changes in operational management
- D) To transfer operations to another institution in case of certain scenarios
- E) To facilitate mergers and acquisitions involving the depository

Q78. According to regulation 52 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what must every depository do to protect the interests of beneficial owners?

- A) Offer financial incentives to beneficial owners
- B) Provide regular training to beneficial owners
- C) Take measures to ensure the safety of beneficial owners' investments
- D) Hire a legal team to represent beneficial owners
- E) Conduct surveys to understand the preferences of beneficial owners

Q79. As per regulation 53 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what must a depository do to ensure the integrity of its electronic records?

- A) Keep physical copies of all records
- B) Maintain records only in printed form
- C) Regularly update its software systems
- D) Implement automatic data processing systems

E) Take precautions to prevent loss, destruction, or tampering of records

Q80. According to regulation 55 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, with whom does a depository need to extend cooperation?

- A) Competing depositories only
- B) Regulatory authorities only
- C) Beneficial owners and issuers' agents only
- D) Beneficial owners, issuers, issuers' agents, custodians of securities, other depositories, and clearing organisations
- E) Government agencies only

Q81. What is the purpose of the provision in regulation 56 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018 regarding the generation of a consolidated account statement?

- A) To ensure that beneficial owners share their account statements with the depository
- B) To enable the depository to track the transactions of beneficial owners
- C) To facilitate the sharing of information about demat assets held by beneficial owners
- D) To prevent beneficial owners from accessing their account statements
- E) To provide information about the depository's financial performance

Q82. According to regulation 57 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the requirement for a depository to assign or delegate its functions?

- A) It can assign its functions without any prior approval
- B) It can delegate its functions only to custodians of securities
- C) It can assign or delegate its functions with the approval of any government agency
- D) It can delegate its functions without any prior approval
- E) It can assign or delegate its functions only with the prior approval of the Board

Q83. What is the requirement stated in regulation 58 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018 that participants need to fulfil before acting on behalf of a beneficial owner?

- A) Participants need to undergo specialised training provided by the depository
- B) Participants need to obtain a separate certificate of registration from the Board
- C) Participants need to enter into an agreement with the depository
- D) Participants need to provide their financial statements to the beneficial owner
- E) Participants need to submit a report to the Board

Q84. According to regulation 59(1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how should a participant handle the securities of different beneficial owners?

- A) Mix them with the participant's own securities
- B) Keep them in a single account under the participant's name
- C) Segregate them and not mix them with each other or with the participant's own securities
- D) Keep them with the securities of other participants
- E) Keep them in the issuer's account

Q85. As per regulation 59(2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when should a participant register the transfer of securities to or from a beneficial owner's account?

- A) Automatically upon receiving the securities
- B) Upon receiving instructions from the issuer
- C) Upon receiving instructions from the participant's own account
- D) Only when directed by the government agency
- E) Upon receiving instructions from the beneficial owner

Q86. How should every entry in the beneficial owner's account be supported, according to regulation 59(3) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) By presenting a physical certificate of ownership
- B) By submitting a written letter of request to the participant
- C) By providing a verbal confirmation to the participant
- D) By submitting a manual request to the depository
- E) By electronic instructions or any other mode of instruction received from the beneficial owner

Q87. As per regulation 61 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how should a participant allow a beneficial owner to withdraw or transfer from their account?

- A) By physically visiting the participant's office
- B) By sending a written letter of request to the participant
- C) By providing a verbal confirmation to the participant
- D) In a manner specified in the agreement with the beneficial owner
- E) By submitting a manual withdrawal form to the participant

Q88. According to regulation 62 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the requirement for connectivity for every participant?

- A) Maintain regular postal communication with each depository
- B) Maintain continuous electronic means of communication with each depository
- C) Attend quarterly meetings with each depository
- D) Communicate only through telephone calls with each depository
- E) Provide monthly reports to each depository

Q89. What is the purpose of the mechanism mentioned in regulation 63 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018 that participants are required to have?

- A) To monitor the performance of the depository
- B) To evaluate the financial health of the issuer
- C) To review the quality of the securities in their account
- D) To review, monitor, and evaluate the participant's internal accounting controls and systems
- E) To track the market prices of the securities

Q90. What is the obligation of participants according to regulation 64 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Reconcile their records with other participants on a daily basis
- B) Reconcile their records with the government agency on a daily basis
- C) Reconcile their records with the Board on a monthly basis
- D) Reconcile their records with every depository in which they are a participant on a daily basis

E) Reconcile their records with the issuer on an annual basis

Q91. What type of records are participants required to maintain as per regulation 66 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Records of their financial transactions with the government
- B) Records of their personal financial investments
- C) Records of their communications with other participants
- D) Records of all the transactions with a depository and beneficial owners
- E) Records of their employees' attendance

Q92. According to regulation 66 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, who can inspect the records maintained by a participant?

- A) Only the beneficial owners
- B) Only the government agencies
- C) Only the Board
- D) Persons authorised by the participant
- E) Persons authorised by the depository

Q93. How long should participants preserve the records and documents as per regulation 66 (5) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Two years
- B) Five years
- C) Eight years
- D) Ten years
- E) Fifteen years

Q94. What precautions should participants take regarding electronically kept records according to regulation 67 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Ensure records are handwritten
- B) Maintain records in a single location
- C) Maintain data processing systems
- D) Share records with other participants
- E) Encrypt records for security

Q95. According to regulation 68 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how should a participant maintain records if it is associated with more than one depository?

- A) Combine all records into one file
- B) Maintain the records only for the primary depository
- C) Separate records for each depository
- D) Share records among all depositories
- E) Keep records only in physical form

Q96. What action requires prior approval of the depository as per regulation 69 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Dematerializing securities
- B) Registering new beneficial owners
- C) Assigning or delegating participant functions to another person
- D) Issuing new securities
- E) Receiving dividends

Q97. When is an agreement between an issuer and a depository not required, as per regulation 70 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) When the issuer is a bank
- B) When the issuer is a foreign entity
- C) When the issuer is a government agency
- D) When the issuer is a non-banking finance company
- E) When the issuer is a mutual fund

Q98. Who is responsible for handling matters related to the transfer of securities, record maintenance, and establishing connectivity with depositories, according to regulation 71 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Stock exchange
- B) Share Transfer Agent
- C) Beneficial owner
- D) Government agency
- E) Custodian

Q99. According to regulation 72 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, how long does an issuer or its agent have to redress the grievances of beneficial owners?

- A) 7 days
- B) 15 days
- C) 30 days
- D) 60 days
- E) 90 days

Q100. What is the purpose of the Investor Protection Fund established by a depository, as per regulation 73 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Providing loans to investors
- B) Compensating depository employees
- C) Indemnifying the depository
- D) Protecting the interest of beneficial owners
- E) Covering operational expenses of the depository

Q101. What is the timeframe within which the participant is required to forward the details of the certificate of security to the depository, as mentioned in regulation 74(2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) 2 days
- B) 5 days
- C) 7 days
- D) 10 days
- E) 15 days

Q102. According to regulation 74(5) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, when must the issuer confirm to the depository that the securities have been listed on the stock exchange where earlier issued securities are listed?

- A) Within 3 days
- B) Within 7 days
- C) Within 10 days
- D) Within 15 days
- E) Within 30 days

Q103. What does the depository do upon receiving information from the issuer about the dematerialization of securities under regulation 74(6) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Mutilate the certificate
- B) Cancel the securities
- C) Substitute the name of the participant as the registered owner
- D) Send an intimation to the issuer
- E) Notify the stock exchange

Q104. According to regulation 76(2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, within how many days should securities be dematerialized as per requests received by the issuer?

- A) 7 days
- B) 14 days
- C) 21 days
- D) 30 days
- E) 45 days

Q105. According to regulation 77 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the requirement for issuers or their agents in terms of electronic communication with the depository?

- A) Weekly communication
- B) Monthly communication
- C) Quarterly communication
- D) Continuous electronic communication
- E) Annual communication

Q106. According to regulation 80 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is required when a depository, participant, or their employees provide investment advice in the publicly accessible media?

- A) They must disclose their employment history.
- B) They must disclose their educational qualifications.
- C) They must disclose their personal financial situation.
- D) They must disclose their trading activities in the security being advised.

E) They must disclose their social media profiles.

Q107. According to regulation 81 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the role of a compliance officer appointed by a depository or participant?

- A) To manage the company's financial investments.
- B) To handle customer service inquiries.
- C) To develop marketing strategies.
- D) To monitor compliance with regulations and report any non-compliance to the Board.
- E) To handle risk assessment and mitigation.

Q108. According to regulation 81A (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, what is the responsibility of a chief risk officer appointed by a depository?

- A) To manage the company's financial investments.
- B) To handle customer service inquiries.
- C) To develop marketing strategies.
- D) To identify, monitor, and mitigate risks associated with the depository's functioning.
- E) To handle compliance with regulations.

Q109. According to regulation 83 (1) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018, under what conditions can a - depository apply for listing its securities on a recognized stock exchange?

- A) If it is a government-owned entity.
- B) If it has been in operation for at least five years.
- C) If it has obtained approval from the Reserve Bank of India.
- D) If it has completed three years of continuous depository operations and obtained approval from the Board.
- E) If it has obtained approval from the Securities and Exchange Board of India.

Q110. What is the procedure for ordering an inspection or investigation under regulation 85 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) The Board shall give at least ten days' notice to the depository, participant, beneficial owner, issuer, or its agent before ordering an inspection or investigation.
- B) The Board shall give notice to the depository, participant, beneficial owner, issuer, or its agent after ordering an inspection or investigation.
- C) The Board can order an inspection or investigation without any notice to the concerned parties.
- D) The Board shall give at least twenty days' notice to the depository, participant, beneficial owner, issuer, or its agent before ordering an inspection or investigation.
- E) None of the above

Q111. What expenses is the Board entitled to recover from the concerned parties for inspection or investigation purposes as per Regulation 90 of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- A) Expenses related to conducting training programs for participants and issuers.
- B) Legal fees incurred for regulatory compliance purposes.
- C) Expenses including fees paid to auditors for inspecting or investigating the books of account, records, documents, infrastructures, systems, and procedures of the depository, participant, beneficial owner, issuer, or its agent.

- D) Expenses related to advertising and marketing of depository services.
E) None of the above

Q112. Which of the following actions can the Board take against a depository in case of contravention as per Regulation 91A (2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) Debarring the depository from trading
- b) Freezing the depository's bank accounts
- c) Revoking the depository's licence
- d) Suspending the depository's employees
- e) Imposing a monetary penalty

Q113. In the context of the regulatory sandbox, what does "live testing environment" refer to as per Reg 93A of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) A simulated virtual environment.
- b) A place where market participants meet.
- c) A real-world setting for testing innovations.
- d) A controlled laboratory for scientific experiments.
- e) A space for conducting regulatory workshops.

Q114. What happens to actions or activities that were undertaken based on the repealed regulations before the commencement of the new regulations as per Regulation 98 (2) of Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018?

- a) They will be considered null and void.
- b) They will be carried over as is to the new regulations.
- c) They will require new approvals under the new regulations.
- d) They will be reviewed by an external committee.
- e) They will be deemed to have been done under the corresponding provisions of the new regulations.

Q115. The core functions of a depository are mentioned in

- a) Schedule I
- b) Schedule II
- c) Schedule III
- d) Schedule IV
- e) None of the above

ANSWER KEY

A1. a) Any change in the legal formation or ownership of a body corporate.

As per Reg 2- (e) "Change in control" –(i) in case of a body corporate –(A) if its shares are listed on any recognised stock exchange, shall be construed with reference to the definition of control in terms of regulations framed under clause (h) of sub-section (2) of section 11 of the Act; (B) if its shares are not listed on any recognised stock exchange, shall be construed with reference to the definition of control as provided in sub-section (27) of Section 2 of the Companies Act, 2013 (18 of 2013); (ii) in a case other than that of a body corporate, shall be construed as any change in its legal formation or ownership or change in controlling interest. Explanation –For the purpose of sub-clause (ii), the expression "controlling interest"

means an interest, direct or indirect, to the extent of not less than fifty percent of voting rights or interest.

A2. c) A director elected by shareholders who are not depository participants or their associates.

As per Reg 2- (ka) "non-independent director" means a director elected or nominated by the shareholders who are neither depository participants nor their associates and agents

A3. b) Obtaining registration from the Board as per the relevant Acts and regulations.

As per Reg 3- 3.(1) No person shall establish a Depository unless he has obtained registration from the Board in accordance with the Act, the Depositories Act, 1996 and these regulations.(2) An application for the grant of a certificate of registration as a depository shall be made to the Board by an applicant in Form A of the First Schedule, shall be accompanied by the fee specified in Part A of the Second Schedule and be paid in the manner specified in Part B thereof.(3) The application shall be accompanied by draft bye-laws of the depository that is proposed to be set-up.

A4. d) The applicant will be given an opportunity to address the issues, and if not resolved, the application will be rejected.

As per Reg 4- An application in Form A of the First Schedule which is not complete in all respects and does not conform to the instructions specified therein shall be rejected: Provided that before rejecting any such application, the applicant shall be given in writing an opportunity to remove, within thirty days of the date of communication in this regard, the objections indicated by the Board: Provided further that the Board may, on being satisfied that it is necessary to extend the period specified in the first proviso, extend such period by such further time as it thinks necessary in order to enable the applicant to remove the objections indicated by the Board.

A5. b) The applicant should furnish further information or clarification as requested by the Board.

As per Reg 5- (1) The Board may require the applicant to furnish such further information or clarification regarding matters relevant to the activity of the depository for the purpose of consideration of the application.(2) The applicant or his authorised representative shall, if so required, appear before the Board for personal representation, in connection with the grant of certificate of registration

e) The applicant should withdraw the application if the Board requires further information

A6. e) The applicant should belong to the category of shareholders eligible to hold up to 15% share capital of the depository and be a fit and proper person.

As per Reg 6- (1) The Board shall not consider an application under regulation 3, unless the applicant belongs to the category of shareholders eligible to hold upto 15% share capital of the depository in terms of sub-regulation (1) and (2) of regulation 21.(2) The Board shall not consider an application under regulation 3, unless the applicant is a fit and proper person as described in sub-regulation 2 of regulation 23

A7. e) Both b) and d)

As per Reg 7- (c)[(i)] the depository shall not carry on any activity whether involving deployment of funds or otherwise without prior approval of the Board: Provided that prior approval of the Board shall not be required in case of treasury investments if such investments are as per the investment policy approved by the governing board of depository. Provided further that a depository may carry out such activity not incidental to its activities as a depository, whether

involving deployment of funds or otherwise, as may be assigned to the depository by the Central Government or by a regulator in the financial sector, through the establishment of Strategic Business Unit(s) specific to each activity with the prior approval of the Board and subject to such conditions as may be prescribed by the Board, including transfer of such activity to a separate company within such time as may be specified by the Board having regard to the matters which are relevant to the efficient and orderly function of the Depository as mentioned in regulation 14. Explanation: For the purposes of this clause, a Strategic Business Unit shall be an organisational unit of a company with its own mission, objectives and business strategy that is given the responsibility to serve the particular demands of one business area with appropriate technological, financial and other segregations. 7[(ii) An employee of a depository shall not simultaneously be an employee of any other company where the depository has invested (iii) A director, committee member or employee of a depository shall not receive any compensation or any other financial benefit from the companies where the depository has invested, other than fees and expenses related to the governing board and committee meetings.

A8. D) Five years

As per Reg 7- (d) the shareholding of the applicant in the depository shall be locked-in for a period of five years from the date of grant of registration by the Board.

A9. B) Shareholding and governance structure requirements

As per Reg 7-(e) the depository complies with the shareholding and governance structure requirements specified in these regulations.

A10. C) Inform the Board in writing

As per Reg 7 (f) if any information previously submitted by the depository or the applicant to the Board is found to be false or misleading in any material particular, or if there is any change in such information, the depository shall forthwith inform the Board in writing.

A11. C) Thirty days

As per Reg 7 (g)- (g) the depository shall redress the grievances of the participants and the beneficial owners within thirty days of the date of receipt of any complaint from a participant or a beneficial owner and keep the Board informed about the number and the nature of redressals.

A12. C) One year

As per Reg 7- (h) the depository shall make an application for commencement of business under regulation 11 within one year from the date of grant of certificate of registration under this regulation;

A13. C) Within 30 days

As per Reg 10- (2) The decision of the Board to reject the application shall be communicated to the applicant in writing within thirty days of such decision, stating therein the grounds on which the application has been rejected.

A14. C) Within 1 year

As per Reg 11- A depository which has been granted a certificate of registration under regulation 7, shall within one year from the date of issue of such certificate make an application to the Board for commencement of business in Form C of the First Schedule. Application to conform to the requirements.

A15. D) The application will be rejected

As per Reg 12- Any application in Form C of the First Schedule which is not complete in all respects and does not conform to instructions specified therein shall be rejected: Provided that before rejecting any such application, the applicant shall be given in writing an opportunity to remove within thirty days of the date of communication in this regard, the objections indicated by the Board: Provided further that the Board may, on being satisfied that it is necessary to extend the period specified in the first proviso, extend such period by such further time as it thinks necessary in order to enable the applicant to remove the objections indicated by the Board.

A16. D) For personal representation in connection with the grant of certificate of commencement of business

As per Reg 13- (2) The depository or its authorised representative, if so required, shall appear before the Board for personal representation in connection with the grant of certificate of commencement of business.

A17. E) The security of the network for electronic communications

As per Reg 14- (1) The Board shall take into account for considering grant of certificate of commencement of business, all matters which are relevant to the efficient and orderly functioning of the depository and in particular, the following, namely, whether—d) the network through which continuous electronic means of communications are established between the depository, participants, issuers and issuers' agents is secure against unauthorised entry or access.

A18. C) The physical location of the depository

As per Reg 14. (1) The Board shall take into account for considering grant of certificate of commencement of business, all matters which are relevant to the efficient and orderly functioning of the depository and in particular, the following, namely—(a) the depository has a net worth of not less than rupees one hundred crores; (b) the bye-laws of the depository have been approved by the Board; (c) the automatic data processing systems of the depository have been protected against unauthorised access, alteration, destruction, disclosure or dissemination of records and data; (d) the network through which continuous electronic means of communications are established between the depository, participants, issuers and issuers' agents is secure against unauthorised entry or access; (e) the depository has established standard transmission and encryption formats for electronic communications of data between the depository, participants, issuers and issuers' agents; (f) the physical or electronic access to the premises, facilities, automatic data processing systems, data storage sites and facilities including back up sites and facilities and to the electronic data communication network connecting the depository, participants, issuers and issuers' agents is controlled, monitored and recorded; (g) the depository has a detailed operations manual explaining all aspects of its functioning, including the interface and method of transmission of information between the depository, issuers, issuers' agents, participants and beneficial owners; (h) the depository has established adequate procedures and facilities to ensure that its records are protected against loss or destruction and arrangements have been made for maintaining back up facilities at a location different from that of the depository; (i) the depository has made adequate arrangements including insurance for indemnifying the beneficial owners for any loss that may be caused to such beneficial owners by the wrongful act, negligence or default of the depository or its participants or of any employee of the depository or participant; and (j) the grant of certificate of commencement of business is in the interest of investors in the securities market.

A19. D) To ensure secure and standardised data exchange

*As per 14 (1) (e)
the depository has established standard transmission and encryption formats for*

electronic communications of data between the depository, participants, issuers and issuers' agents;

A20. B) By the thirtieth day of September of every year

As per Reg 15- (1) Every depository shall maintain net worth as specified under regulation 14 (1) (a) at all times and submit an audited net worth certificate from the statutory auditor on a yearly basis, by the thirtieth day of September of every year for the preceding financial year. *Explanation: For the purposes of this regulation, 'networth of a depository' means the aggregate value of paid up equity share capital and free reserves (excluding statutory funds, benefit funds and reserves created out of revaluation) reduced by the investments in businesses, whether related or unrelated, aggregate value of accumulated losses and deferred expenditure not written off, including miscellaneous expenses not written off.*

A21. D) The aggregate value of paid up equity share capital and free reserves reduced by certain factors

As per Reg 15- (1) Every depository shall maintain net worth as specified under regulation 14 (1) (a) at all times and submit an audited net worth certificate from the statutory auditor on a yearly basis, by the thirtieth day of September of every year for the preceding financial year. *Explanation: For the purposes of this regulation, 'networth of a depository' means the aggregate value of paid up equity share capital and free reserves (excluding statutory funds, benefit funds and reserves created out of revaluation) reduced by the investments in businesses, whether related or unrelated, aggregate value of accumulated losses and deferred expenditure not written off, including miscellaneous expenses not written off.*

A22. C) After considering the application under regulation 14 and verifying its net worth

As per Reg 16- After considering the application under regulation 14 with reference to the matters specified in sub-regulation (1) of regulation 14 and making physical verification under sub-regulation (2) of that regulation, if the Board is satisfied that the depository is eligible to commence business as a depository, shall grant a certificate of commencement of business in Form D of the First Schedule.

A23. D) The Board can either direct the depository to conform to certain matters or reject the application

As per Reg 18- (1) If the Board, after considering the matters specified in sub-regulation (1) of regulation 14 and making physical verification under sub-regulation (2) of that regulation, is of the opinion that the depository shall not be granted a certificate of commencement of business, it may either—(a) direct the depository to conform to the matters specified in regulation 14; or (b) reject the application after giving the applicant an opportunity of being heard.

A24. D) Within thirty days

As per Reg 18- (2) The decision of the Board to reject the application shall be communicated to the depository in writing within thirty days of such decision, stating therein the grounds on which the application has been rejected.

A25. C) They must be reduced to the specified limit within a period of five years

As per Reg 20- (2) For determining the shareholding of any person in a depository as specified in these regulations, any instrument held, owned or controlled, directly or indirectly, by a person that entitles him the voting rights or provides for entitlement to voting rights or equity shares or any other rights over equity shares at any future date, shall also be included: Provided that any equity or rights over equity, arising from such instruments in excess of limit of shareholding specified in this Chapter on the date of commencement of these regulations, shall be reduced to

the specified limit within a period of five years or such other period as may be specified by the Board from time to time, from the date of such commencement.

A26. D) A stock exchange, depository, banking company, insurance company, and public financial institution

As per Reg 21- (1) No person resident in India shall at any time, directly or indirectly, either individually or together with persons acting in concert, acquire or hold more than five percent of the paid up equity share capital in a Depository: Provided That,—(i) a stock exchange; (ii) a depository; (iii) a banking company; (iv) an insurance company; and (v) a public financial institution, may acquire or hold, either directly or indirectly, either individually or together with persons acting in concert, upto fifteen percent of the paid up equity share capital of a Depository.

A27. D) A foreign stock exchange, foreign depository, foreign banking company, foreign insurance company, foreign commodity derivatives exchange, and a bilateral or multilateral financial institution approved by the Central Government

As per Reg 21- (2) No person resident outside India, directly or indirectly, either individually or together with persons acting in concert, shall acquire or hold more than five percent of the paid up equity share capital in a Depository: Provided further that,—(i) a foreign stock exchange; (ii) a foreign depository; (iii) a foreign banking company; (iv) a foreign insurance company; (v) a foreign commodity derivatives exchange; and (vi) a bilateral or multilateral financial institution approved by the Central Government, may acquire or hold, either directly or indirectly, either individually or together with persons acting in concert, upto fifteen percent of the paid up equity share capital of a Depository. Explanation: For the purposes of proviso to sub-regulation (2), the persons referred to in clauses (i) to (vi) shall mean persons recognised/ incorporated outside India.

A28. D) 49 percent

As per Reg 21- (3) Subject to the limits as otherwise prescribed by the Central Government from time to time, the combined holding of all persons resident outside India in the paid up equity share capital of a depository shall not exceed, at any time, forty-nine percent of its total paid up equity share capital.

A29. B) Obtain prior approval from the Board

As per Reg 22- (3) Any person eligible to acquire or hold more than five percent of the paid up equity share capital under sub-regulation (1) and sub-regulation (2) of regulation 21 may acquire or hold more than five percent of the paid up equity share capital of a depository only if the person has obtained prior approval of the Board.

A30. C) The number of public interest directors' votes must be equal to or more than the number of non-independent directors' votes.

As per Reg 24- (3) The number of public interest directors shall not be less than the number of 14 [non-independent directors] on the governing board of a Depository. (4) The number of public interest directors shall not be less than the number of 15 [non-independent directors] to constitute the quorum for the meeting of the governing board. (5) The voting on a resolution in the meeting of the governing board shall be valid only when the number of public interest directors that have cast their vote on such resolution is equal to or more than the number of 16 [non-independent directors] who have cast their vote on such resolution.

A31. D) The chairperson of the governing board.

As per Reg 24- (6) The casting vote in the meetings of the governing board of the depository shall be with the chairperson of the governing board.

A32. A) If the entity is a depository itself.

As per Reg 24- 10) A person who is a director in an entity, that itself is a depository participant or has associate(s) as depository participant, he/she will be deemed to be a depository participant: Provided a person shall not be deemed to be Depository Participant or their associate for the purpose of sub-regulation 10, if he/she is on the board of a Public Financial Institution or Bank which is in public sector, or which has no identifiable ultimate promoter, or the ultimate promoter is in public sector or has well diversified shareholding, and such Public Financial Institution or Bank or its associate is a Depository Participant: Provided further that the independent directors of associates of Public Financial Institution or Bank in public sector, who is a Depository Participant and where the majority shareholding is that of such Public Financial Institution or Bank in public sector, shall not be deemed to be Depository Participant for the purpose of sub-regulation 10.

A33. C) Capital markets and finance.

As per Regulation 24- (14) (a) The governing board of the depository shall comprise of directors having the requisite qualifications and experience in the areas of capital markets, finance and accountancy, legal and regulatory practice, technology, risk management, and management or administration: Provided that the governing board of the depository shall comprise of at least one public interest director having the requisite qualification and experience in each of the areas of capitalmarkets,financeandaccountancy,legal and regulatory practice,andtechnology.

A34. C) Three persons.

As per Reg 24A. The Board may appoint one or more persons not exceeding three in number, as director(s) on the governing board of any depository and such director(s) shall exercise the same powers as the other directors of the governing board.

A35. C) Three years

As per Reg 25- (3) Public interest directors shall be 22[appointed] for a term of three years, extendable by another term of three years, subject to performance review in the manner as may be specified by the Board: Provided that post the expiry of term(s) at a depository, a public interest director may be 23[appointed with the prior approval of] for a term of three years in other depository or recognized stock exchange or a recognized clearing corporation, only after a cooling-off period of one year: Provided further that a person shall be 24[appointed] as a public interest director for a maximum of three terms across a depository 25[or] a recognized stock exchange 26[or] a recognized clearing corporation, subject to a maximum age limit of seventy five years.

A36. C) Three years

As per Reg 25 (8)- (8) No public interest director on the governing board of a depository shall become a director on the board of a subsidiary of that depository unless there is a cooling-off period of three years after ceasing to be a public interest director.

A37. D) 10 years

As per Reg 26- (3) The appointment of the managing director shall be for a term not exceeding five years: Provided that post the completion of first term as Managing Director, the depository shall conduct the appointment process afresh: Provided further that a person may be appointed as Managing Director by the depository for a maximum 28[period of ten years] subject to a maximum age limit of sixty five years.

A38. E) None of the above

As per Reg 26- 4) The managing director of a depository shall not—(a) be a shareholder or an associate of a shareholder of a depository or shareholder of an associate of a depository; (b) be a depository participant, or his associate and agent, or shareholder of a depository participant or shareholder of an associate and agent of a depository participant; or c) hold any position concurrently in the subsidiary of a depository or in any other entity associated with a depository: Provided that the managing director of a depository may be appointed on the governing board, but not as managing director, of the subsidiary or associate of a depository.

A39. E) Both A and B

As per Reg 26- (5) The managing director shall be liable for removal or termination of services by the governing board of the depository with the prior approval of the Board for failure to give effect to the directions, guidelines and other orders issued by the Board, or the rules, instructions, the articles of association and bye-laws of the depository. (6) The Board may suo motu remove or terminate the appointment of the managing director if deemed fit in the interest of securities market: Provided that no managing director shall be removed unless he has been given a reasonable opportunity of being heard.

A40. C) The ratio of compensation paid to each key management personnel.

As per Reg 28 (6) The report under sub-regulation (5) shall comprise of ratio of compensation paid to each key management personnel, vis-a-viz. median of compensation paid to other employees of the depository.

A41. A) Determine the compensation of key management personnel.

As per Reg 28- (2) The Nomination and Remuneration Committee shall determine the compensation of key management personnel in terms of a compensation policy.

A42. D) Into three distinct verticals: critical operations, regulatory compliance, and other functions.

As per Reg 29- (1) Every depository shall identify and segregate its functions into the following verticals:(a)Critical Operations;(b)Regulatory, Compliance, Risk Management and Investor Grievances; and (c)Other functions including business development.

A43. A) Critical operations

As per Reg 29- (3) The functions under the verticals as provided at clause (a) and (b) of sub-regulation1 shall be given higher priority by the depositoryover the functions under the vertical asprovided at clause (c)of sub-regulation (1).

A44. D) To maintain a clear separation of functions under regulatory compliance from other verticals

As per Reg 29 (5)- Every depository shall adopt a "Chinese Wall" policy which separates the functions under vertical as provided at clause (b) of sub-regulation (1)from the functions of other verticals.

A45. D) Employees must not communicate any information with anyone from other verticals.

As per Reg 29- (6) The employees referred to in sub-regulation (5) shall not communicate any information concerning their activity to any one in other verticals and may be physically segregated from employees in other verticals including with respect to access controls:Provided that in exceptional circumstances, employees from other verticals may be given confidential information on "need to know" basis, under intimation to the Compliance Officer.

A46. E) Half-yearly

As per Reg 31- (2) The governing board of a depository shall confirm compliance of sub-regulation (1) in writing on half yearly basis to the Board.

A47. D) Resources committed for regulatory functions and compliance

As per Reg 31- (3) Depository shall disclose resources committed towards strengthening regulatory functions and towards ensuring compliance with regulatory requirements applicable to the depository, backed by an activity based accounting in the report under section 134 of the Companies Act, 2013.

A48. C) Oversight Committee of the Depository

As per Reg 31- (4) The fees and charges levied by a depository shall be placed for review before the Oversight Committee of such depository.

A49. D) Independent external agency

As per Reg 31- 6) Every depository shall also appoint an independent external agency to evaluate its performance and the performance of its statutory committees within such periodicity and in such a manner as may be specified by the Board.

A50. E) Agenda and minutes of certain meetings

As per Reg 31- (7) Every depository shall disclose, on their website, the agenda and minutes of its governing board meetings pertaining to regulatory, compliance, risk management and investor grievance areas, after approval of such minutes.

A51. E) They may be liable for action under these regulations.

As per Reg 31- (8) If any director or key management personnel is or becomes aware of any act of wrongdoing at the depository and fails to report to its governing board or to the Board, such a person may be liable for action under these regulations, after providing him a reasonable opportunity of being heard

A52. C) The depository

As per Reg 32- (2) The depository shall forward to the Board the application in Form F of the First Schedule as early as possible, but not later than thirty days along with its recommendations and certifying that the participant complies with the eligibility criteria including adequate infrastructure as provided for in these regulations and the bye-laws of the depository

A53. e) The applicant will receive a grace period to complete the application.

As per Reg 33- 33. An application in Form F of the First Schedule, which is not complete in all respects and does not conform to the instructions specified therein, shall be rejected: Provided that before rejecting any such application, the applicant shall be given in writing an opportunity to remove within thirty days of the date of communication in this regard, the objections indicated by the Board: Provided further that the Board may, on being satisfied that it is necessary to extend the period specified in the first proviso, extend such period by such further time as it thinks necessary in order to enable the applicant to remove the objections indicated by the Board.

A54. C) 30 days

As per Reg 33- 33. An application in Form F of the First Schedule, which is not complete in all respects and does not conform to the instructions specified therein, shall be rejected: Provided that before rejecting any such application, the applicant shall be given in writing an opportunity to remove within thirty days of the date of communication in this regard, the objections indicated

by the Board: Provided further that the Board may, on being satisfied that it is necessary to extend the period specified in the first proviso, extend such period by such further time as it thinks necessary in order to enable the applicant to remove the objections indicated by the Board.

A55. D) If the Board is satisfied that an extension is necessary.

As per Reg 33- 33. An application in Form F of the First Schedule, which is not complete in all respects and does not conform to the instructions specified therein, shall be rejected: Provided that before rejecting any such application, the applicant shall be given in writing an opportunity to remove within thirty days of the date of communication in this regard, the objections indicated by the Board: Provided further that the Board may, on being satisfied that it is necessary to extend the period specified in the first proviso, extend such period by such further time as it thinks necessary in order to enable the applicant to remove the objections indicated by the Board.

A56. C) The depository to which the applicant is applying

As per Reg 34- (1) The Board may require the applicant, or the depository to which the applicant is to be admitted as a participant, to furnish such further information or clarification as may be considered necessary for the grant of a certificate of registration to the applicant.

A57. B) Rupees fifty lakhs

As per Reg 35 (a) (ix) a non-banking finance company, having a net worth of not less than rupees fifty lakhs: Provided that such company shall act as a participant only on behalf of itself and not on behalf of any other person: Provided further that a non-banking finance company may act as a participant on behalf of any other person, if it has a net worth of rupees fifty crore in addition to the net worth specified by any other authority;

A58. A) To apply for a certificate of registration as a participant

As per Reg 36. (1) After considering the application under regulation 32, with reference to the matters specified in regulation 35, if the Board is satisfied that the applicant is eligible for grant of certificate of registration, grant a certificate in Form G of the First Schedule.

A59. E) The participant must pay the annual fees specified in Part A of the Second Schedule.

As per Reg 36- (2) (g) the participant shall pay annual fees specified in Part A of the Second Schedule in the manner specified in Part B thereof.

A60. C) Within thirty days

As per Reg 36 (f) the participant shall redress the grievances of beneficial owners within thirty days of the date of the receipt of the complaint and keep the depository informed about the number and the nature of redressals;

A61. D) They are deemed to have been granted a certificate of registration.

As per Reg 36 (4) The participant who has already been granted certificate of registration by the Board, prior to the commencement of the Securities and Exchange Board of India (Change in Conditions of Registration of Certain Intermediaries) (Amendment) Regulations, 2016 shall be deemed to have been granted a certificate of registration, in terms of sub-regulation (1).

A62. D) Every five years

As per Reg 36. (5) The participant, to keep the registration in force, shall pay registration fee as specified in Part A of the Second Schedule for every five years from the sixth year of the date of

grant of certificate of registration or of the date of grant of certificate of initial registration granted prior to the commencement of the Securities and Exchange Board of India (Change in Conditions of Registration of Certain Intermediaries) (Amendment) Regulations, 2016, as the case may be.

A63. E) From the sixth year of the date of grant of certificate of registration

As per Reg 36.(5) The participant, to keep the registration in force, shall pay registration fee as specified in Part A of the Second Schedule for every five years from the sixth year of the date of grant of certificate of registration or of the date of grant of certificate of initial registration granted prior to the commencement of the Securities and Exchange Board of India (Change in Conditions of Registration of Certain Intermediaries) (Amendment) Regulations, 2016, as the case may be.

A64. A) Yes, but only after obtaining approval from the Board.

As per Reg 38.(1) A participant who has been granted a certificate of registration may act as a participant of another depository without obtaining a separate certificate of registration subject to approval by such other depository.

A65. D) The participant must pay the registration fees specified in the First Schedule.

As per Reg 38- (3) On receipt of an application under sub-regulation (2), the depository shall, on being satisfied with the compliance of the provisions of these regulations and other relevant eligibility requirements specified by the Board, grant approval to act as its participant subject to payment of registration fees specified in Part A of Second Schedule in the manner specified in Part B thereof, by the participant within fifteen days of the receipt of intimation from the depository.

A66. D) Every five years

As per Reg 38- (6) To keep the registration in force, a participant who has been granted approval under sub-regulation (3) shall pay registration fees specified in Part A of Second Schedule in the manner specified in Part B thereof, for every five years from the sixth year of the date of grant of approval by the depository

A67. E) From the sixth year of the date of grant of approval by the depository

As per Reg 38- (6) To keep the registration in force, a participant who has been granted approval under sub-regulation (3) shall pay registration fees specified in Part A of Second Schedule in the manner specified in Part B thereof, for every five years from the sixth year of the date of grant of approval by the depository.

A68. E) Give the applicant an opportunity to rectify the application.

As per Reg 39.(1) Where an application for the grant of certificate of registration under regulation 32 does not satisfy the requirements specified in regulation 35, the Board shall reject the application after giving the applicant an opportunity of being heard.

A69. B) 30 days

As per Reg 39 (2) The decision of the Board to reject the application shall be communicated to the applicant in writing within thirty days of such decision, stating therein the grounds on which the application has been rejected.

A70. D) Government securities

As per Reg 42. The following securities shall be eligible for being held in dematerialised form in a depository :—(a) shares, scrips, stocks, bonds, debentures, debenture stock, Indian Depository

Receipts⁴⁶, Electronic Gold Receipt⁴⁷ or other marketable securities of a like nature in or of any incorporated company or other body corporate; (b) units of mutual funds, rights under collective investment schemes and venture capital funds, commercial paper, certificates of deposit, securitised debt, money market instruments, Government securities and unlisted securities shall also be similarly eligible for being held in dematerialised form in a depository; (c) any other security as may be specified by the Board from time to time, by way of a notification in the Official Gazette and subject to such conditions as it may deem fit to impose

A71. C) Whenever the investor exercises an option to hold securities in dematerialized form

As per Reg 43. (1) Either on the issuer or on the investor exercising an option to hold his securities with a depository in dematerialised form, the issuer shall enter into an agreement with the depository to enable the investor to dematerialise the securities: Provided that no agreement shall be required to be entered into where the depository itself is an issuer of securities: Provided further that no such agreement shall be required to be entered into where the State or the Central Government is the issuer of Government securities. (2) Where the issuer has appointed a Registrar to the Issue or Share Transfer Agent, who has been granted certificate of registration by the Board under sub-section (1) of section 12 of the Act, the depository shall enter into a tripartite agreement with the issuer and the Registrar to the Issue or Share Transfer Agent, as the case may be, in respect of the securities to be declared by the depository as eligible to be held in dematerialised form.

A72. A) When the depository itself is an issuer of securities

As per Reg 43. (1) Either on the issuer or on the investor exercising an option to hold his securities with a depository in dematerialised form, the issuer shall enter into an agreement with the depository to enable the investor to dematerialise the securities: Provided that no agreement shall be required to be entered into where the depository itself is an issuer of securities: Provided further that no such agreement shall be required to be entered into where the State or the Central Government is the issuer of Government securities. (2) Where the issuer has appointed a Registrar to the Issue or Share Transfer Agent, who has been granted certificate of registration by the Board under sub-section (1) of section 12 of the Act, the depository shall enter into a tripartite agreement with the issuer and the Registrar to the Issue or Share Transfer Agent, as the case may be, in respect of the securities to be declared by the depository as eligible to be held in dematerialised form.

A73. C) To enable real-time trading of securities

As per Reg 45 Every depository shall maintain continuous electronic means of communication with all its participants, issuers or issuers' agents, as the case may be, clearing houses and clearing corporations of the stock exchanges and with other depositories.

A74. D) That it has a mechanism to protect the interests of securities buyers and sellers

As per Reg 46. The Depository shall satisfy the Board that it has a mechanism in place to ensure that the interests of the persons buying and selling securities held in the depository are adequately protected.

A75. C) If the participant's request complies with the conditions specified in the bye-laws of the depository

As per Reg 47. Every depository shall allow any participant to withdraw, or transfer its account, if the request for such withdrawal or transfer is in accordance with conditions stipulated therefore in the bye-laws of the depository. Internal monitoring, review and evaluation of systems.

A76. E) To monitor and review the effectiveness of the depository's internal controls

As per Reg 49- Every depository shall cause an inspection of its controls, systems, procedures and safeguards to be carried out annually and forward a copy of the report to the Board.

A77. D) To transfer operations to another institution in case of certain scenarios

As per Reg 51. Every depository shall devise and maintain a wind-down plan in accordance with guidelines specified by the Board. Explanation: For the purpose of this regulation, 'wind-down plan' means a process or plan of action employed, for transfer of the beneficial owner accounts and other two operational powers of the depository to an alternative institution that would take over the operations of the depository in scenarios such as erosion of net-worth of the depository or its insolvency or its inability to provide critical depository operations or services.

A78. C) Take measures to ensure the safety of beneficial owners' investments

As per Reg 52. Every depository shall take adequate measures including insurance to protect the interests of the beneficial owners against risks likely to be incurred on account of its activities as a depository.

A79. E) Take precautions to prevent loss, destruction, or tampering of records

As per Reg 53. Where records are kept electronically by the depository, it shall ensure that the integrity of the automatic data processing systems is maintained at all times and take all precautions necessary to ensure that the records are not lost, destroyed or tampered with and in the event of loss or destruction, ensure that sufficient back up of records is available at all times at a different place.

A80. D) Beneficial owners, issuers, issuers' agents, custodians of securities, other depositories, and clearing organisations

As per Reg 55. Every depository shall extend all such cooperation to the beneficial owners, issuers, issuers' agents, custodians of securities, other depositories and clearing organisations as is necessary for the effective, prompt and accurate clearance and settlement of securities transactions and conduct of business.

A81. C) To facilitate the sharing of information about demat assets held by beneficial owners

As per Reg 56. In order to enable generation of a consolidated account statement for the use of a beneficial owner in respect of all demat assets held by him, the depository shall enter into necessary agreements for sharing of such information.

A82. E) It can assign or delegate its functions only with the prior approval of the Board

As per Reg 57. No depository shall assign or delegate to any other person its functions as a depository, without the prior approval of the Board.

A83. C) Participants need to enter into an agreement with the depository

As per Reg 58. Every participant shall enter into an agreement with a beneficial owner before acting as a participant on his behalf, in a manner specified by the depository in its bye-laws

A84. C) Segregate them and not mix them with each other or with the participant's own securities

As per Reg 59. (1) Separate accounts shall be opened by every participant in the name of each of the beneficial owners and the securities of each beneficial owner shall be segregated, and shall not be mixed up with the securities of other beneficial owners or with the participant's own securities.

A85. E) Upon receiving instructions from the beneficial owner

As per Reg 59 (2) A participant shall register the transfer of securities to or from a beneficial owner's account only on receipt of instructions from the beneficial owner and thereafter confirm the same to the beneficial owner in a manner as specified by the depository in its bye-laws.

A86. E) By electronic instructions or any other mode of instruction received from the beneficial owner

As per Reg 59 (3) Every entry in the beneficial owner's account shall be supported by electronic instructions or any other mode of instruction received from the beneficial owner in accordance with the agreement with the beneficial owner.

A87. D) In a manner specified in the agreement with the beneficial owner

As per Reg 61. Every participant shall allow a beneficial owner to withdraw or transfer from his account in such manner as specified in the agreement with the beneficial owner.

A88. B) Maintain continuous electronic means of communication with each depository

As per Reg 62. Every participant shall maintain continuous electronic means of communication with each depository in which it is a participant. Monitoring, reviewing and evaluating internal systems and controls.

A89. D) To review, monitor, and evaluate the participant's internal accounting controls and systems

As per Reg 63. Every participant shall have adequate mechanism for the purpose of reviewing, monitoring and evaluating the participant's internal accounting controls and systems.

A90. D) Reconcile their records with every depository in which they are a participant on a daily basis

As per Reg 64. Every participant shall reconcile his records with every depository in which it is a participant on a daily basis.

A91. D) Records of all the transactions with a depository and beneficial owners

As per Reg 66. (1) Every participant shall maintain the following records and documents, namely :—(a) records of all the transactions entered into with a depository and with a beneficial owner.

A92. E) Persons authorised by the depository

As per Reg 66- (3) Every participant shall allow persons authorised by the depository in which it is a participant to enter its premises during normal office hours and inspect its records.

A93. C) Eight years

As per Reg 66- (5) Subject to the provisions of any other law, the participant shall preserve records and documents for a minimum period of eight years

A94. C) Maintain data processing systems

As per Reg 67. Where records are kept electronically by the participant it shall ensure that the integrity of the data processing systems is maintained at all times and take all precautions necessary to ensure that the records are not lost, destroyed or tampered with and in the event of loss or destruction, ensure that sufficient back up of records is available at all times at a different place.

A95. C) Separate records for each depository

As per Reg 68. If a participant enters into an agreement with more than one depository, it shall maintain the records specified in regulation 66 separately in respect of each depository.

A96. C) Assigning or delegating participant functions to another person

As per Reg 69. No participant shall assign or delegate its functions as participant to any other person, without the prior approval of the depository.

A97. C) When the issuer is a government agency

As per Reg 70. Every issuer whose securities have been declared as eligible to be held in dematerialised form in a depository shall enter into an agreement with the depository in accordance with the provisions of regulation 43: Provided that no agreement shall be required to be entered into in case,—(i) the depository is the issuer of securities; or (ii) the State or the Central Government is the issuer of Government securities.

A98. B) Share Transfer Agent

As per Reg 71. All matters relating to transfer of securities, maintenance of records of holders of securities, handling of physical securities and establishing connectivity with the depositories shall be handled and maintained at a single point i.e. either in-house by the issuer or by a Share Transfer Agent registered with the Board.

A99. C) 30 days

As per Reg 72. Every issuer or its agent or any person who is registered as an intermediary under this regulation, shall redress the grievances of beneficial owners within thirty days of the date of receipt of the complaint and keep the depository informed about the number and nature of grievances redressed by it and the number of grievances pending before it.

A100. D) Protecting the interest of beneficial owners

As per Reg 73. (1) Every depository shall establish and maintain an Investor Protection Fund for the protection of interest of beneficial owners: Provided that this Fund shall not be used by the depository for the purpose of indemnifying the beneficial owner under section 16 of the Depositories Act, 1996. (2) Every depository shall credit five percent or such percentage as may be specified by the Board, of its profits from depository operations every year to the Investor Protection Fund. (3) The contribution to and utilisation of the Investor Protection Fund shall be in accordance with the norms specified by the Board

A101. C) 7 days

As per Reg 74 (2) The participant shall, on receipt of information under sub-regulation (1), forward such details of the certificate of security to the depository and shall confirm to the depository that an agreement has been entered into between the participant and the beneficial owner.

A102. B) Within 7 days

As per Reg 74 (5) Within fifteen days of receipt of the certificate of security from the participant the issuer shall confirm to the depository that securities comprised in the said certificate have been listed on the stock exchange or exchanges where the earlier issued securities are listed and shall also after due verification immediately mutilate and cancel the certificate of security and substitute in its record the name of the depository as the registered owner and shall send a certificate to this effect to the depository and to every stock exchange where the security is listed: Provided That in case of unlisted companies the condition of listing on all the stock exchanges where earlier issued shares are listed, shall not be applicable.

A103. C) Substitute the name of the participant as the registered owner

As per Reg 74 (6) Immediately upon receipt of information from the issuer under sub-regulation (5), the depository shall enter in its records the name of the person who has surrendered the certificate of security as the beneficial owner, as well as the name of the participant from whom it has received intimation under sub-regulation (2), and shall send an intimation of the same to the participant.

A104. C) 21 days

As per Reg 76 (2) The audit report under sub-regulation (1) shall also give the updated status of the register of members of the issuer and confirm that securities have been dematerialized as per requests within twenty one days from the date of receipt of requests by the issuer and where the dematerialization has not been effected within the said stipulated period, the report shall disclose the reasons for such delay

A105. D) Continuous electronic communication

As per Reg 77. Every issuer or its agent shall establish continuous electronic means of communication with the depository with which it has entered into an agreement.

A106. D) They must disclose their trading activities in the security being advised.

As per Reg 80.(1) A depository or a participant or any of their employees shall not render, directly or indirectly, any investment advice about any security in the publicly accessible media, whether real-time or non-real-time, unless a disclosure of his interest including long or short position in the said security has been made, while rendering such advice

A107. D) To monitor compliance with regulations and report any non-compliance to the Board.

As per Reg 81. A depository and a participant shall appoint a compliance officer who shall be responsible for monitoring the compliance of the Act, rules and regulations, notifications, guidelines, instructions, etc., issued thereunder and for redressal of investors' grievances

A108. D) To identify, monitor, and mitigate risks associated with the depository's functioning.

As per Reg 81A. (1) Every depository shall appoint a chief risk officer to identify, monitor and initiate necessary steps to mitigate the risk associated with the functioning of a depository.

A109. D) If it has completed three years of continuous depository operations and obtained approval from the Board.

As per Reg 83.(1) Subject to the provisions of applicable laws in force, a depository may apply for listing of its securities on a recognised stock exchange if,— (a) it is compliant with the provisions of these regulations particularly those relating to ownership and governance; (b) it has completed three years of continuous depository operations immediately preceding the date of application of listing; and (c) it has obtained approval of the Board.

A110. A) The Board shall give at least ten days' notice to the depository, participant, beneficial owner, issuer, or its agent before ordering an inspection or investigation.

As per Reg 85.(1) Before ordering an inspection or investigation under regulation 84, the Board shall give not less than ten days notice to the depository, participant, beneficial owner, issuer or its agent, as the case may be.

A111. C) Expenses including fees paid to auditors for inspecting or investigating the books of account, records, documents, infrastructures, systems, and procedures of the depository, participant, beneficial owner, issuer, or its agent.

As per Reg 90- The Board shall be entitled to recover from the depository, participant, beneficial owner, issuer or its agent, as the case may be, such expenses including fees paid to the auditors as may be incurred by it for the purposes of inspecting or investigating the books of account, records, documents, infrastructures, system and procedures of the depository, participant, beneficial owner, issuer or its agent, as the case may be.

A112. e) Imposing a monetary penalty

As per Reg 91A (2) The Board may take action against a depository, director, committee member, key management personnel, employee or any other person associated with the depository, for any contravention or abetting the contravention of these regulations, including the Code of Conduct specified under these regulations, provision of the Act, the Depositories Act, 1996, or any rules or regulations framed there under and any circulars or directions issued by the Board, either upon a reference or suo motu, as it deems fit, including but not limited to any or all of the following:—(a) debaring a repository from introducing new products and services and restricting its existing activities, products and services, etc (b) imposing such monetary penalty as may be determined by the Board on the depository, directors, committee members, key management personnel, employees or any other person associated with the depository. (c) restricting any such person to attend meetings or otherwise participate or involve themselves in the functioning of the depository. Explanation—For the removal of any doubt, it is clarified that the power of the Board to take appropriate action under sub-regulation.

A113. c) A real-world setting for testing innovations.

*As per Reg 93A. (1) The Board may, exempt any person or class of persons from the operation of all or any of the provisions of these regulations for a period as may be specified but not exceeding twelve months, for furthering innovation 54[***] relating to testing new products, processes, services, business models, etc. in live environment of regulatory sandbox in the securities markets. (2) Any exemption granted by the Board under sub-regulation (1) shall be subject to the applicant satisfying such conditions as may be specified by the Board including conditions to be complied with on a continuous basis. Explanation. —For the purposes of these regulations, "regulatory sandbox" means a live testing environment where new products, processes, services, business models, etc. may be deployed on a limited set of eligible customers for a specified period of time, for furthering innovation in the securities market, subject to such conditions as may be specified by the Board.*

A114. e) They will be deemed to have been done under the corresponding provisions of the new regulations.

As per Regulation 98 (2) Notwithstanding such repeal, anything done or any action taken or purported to have been taken or contemplated under the repealed regulations before the commencement of these regulations shall be deemed to have been done or taken or commenced or contemplated under the corresponding provisions of these regulations.

A115. d) Schedule IV.

Fourth Schedule

Core Functions of the Depository

For depositories the core and critical functions shall include but not limited to:

Vertical 1: Critical Operations

- ✓ Provision for dematerialization of securities including holding and transfer of such securities;
- ✓ Record keeping of information related to dematerialized securities;
- ✓ IT infrastructure for core and critical functions;
- ✓ Business continuity plan and disaster recovery operations
- ✓ Cyber Security and cyber resilience framework.

Vertical 2: Regulatory, compliance, risk management and investor grievances.

- ✓ Risk management
- ✓ Surveillance and investigation;
- ✓ Participant registration;
- ✓ Issuer or securities admission;
- ✓ Compliance;
- ✓ Inspection;
- ✓ Enforcement;
- ✓ Arbitration and grievance redressal mechanism;
- ✓ Investor protection and services.

Vertical 3: Other Functions including Business Development.

- ✓ Sales;
- ✓ Marketing;
- ✓ Product Development;
- ✓ Finance.